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SWEDEN  
2007

## 1. Overview of the tax-benefit system

Sweden has an unemployment insurance consisting of a basic assistance scheme and a voluntary income related scheme for those who are members of an Unemployment Insurance Society. These Societies are closely linked to the trade unions. It is possible to join an Insurance Society without being a member of the trade union or employers organisation. The fee is then slightly higher for the extra cost of administration. There is also a special Unemployment Insurance Society for those who do not want to be members of a trade union. Self-employed can also be insured. The basic assistance is intended for those who are not members of an Unemployment Insurance Society or do not fulfil the employment criteria but have finished full time studies.

Those with low income from work, unemployment benefit or any other kind of social security transfer income can claim an income tested housing benefit. This benefit is intended for a family when there are dependent children, but is also open for low-income households beneath the age of 29. For those with neither income nor assets, social assistance can be claimed as the last resort.

### 1.1. *Average worker wage (AW)*

The tax unit is the individual, spouses are taxed separately. The 2007 AW earnings level is SEK 336 818<sup>1</sup> (New AW reported in June 2008).

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1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration ([www.oecd.org/ctp](http://www.oecd.org/ctp)). For more information on methodology see Taxing Wages 2006-2007, OECD, 2008, part 5, sections 2 and 3

## **2. Unemployment insurance**

### **2.1 Conditions for receipt**

Income related unemployment insurance is voluntary and presupposes membership of an Unemployment Insurance Society. The recipient must be fit for work and available to work at least 3 hours per day and at least 17 hours per week.

#### **2.1.1 Employment conditions**

A recipient must have worked at least 6 months (with at least 80 hours per month) or 480 hours during a continuous period of 6 months (with at least 50 hours each month). In both cases, if necessary, two months can be replaced by time with parental leave or compulsory military service.

#### **2.1.2 Contribution conditions**

An employee or a self-employed person must have been a member of an Unemployment Insurance Society for the last 12 months. The trade union members pay a fee to the Unemployment Insurance Society through the monthly collection of union fees but there is also a possibility to pay directly to one of the 35 occupational Unemployment Insurance Societies or to a special 36<sup>th</sup> Society, which is not related to any trade union or employers organisation.

From January 1<sup>st</sup> there is a new co-financing fee. Each employee has to pay an additional SEK 150-300 each month to contribute to the financing of the Unemployment Insurance at a total of about SEK 10 billion.

## **2.2 Calculation of benefit amount**

### **2.2.1 Calculation of gross benefit**

Gross replacement rate is 80 per cent of previous earnings for 200 days and then 70 per cent for the next 100 days. The maximum daily benefit is SEK 680 (yearly equivalent SEK 176 800 ). The minimum daily benefit is SEK 320 .

### **2.2.2 Income and earnings disregards**

The benefit is reduced in proportion of the number of days worked. Family and housing benefits can be paid in addition. There are no special family benefits. They are part of the housing benefit system.

## **2.3 Tax treatment of benefit and interaction with other benefits**

It is taxable.

## **2.4 Benefit duration**

Payable on a 5-day week basis, for a maximum of 300 days or 60 weeks, after a 5-day waiting period. The days on which benefit are received may be broken by a period of employment. If the employment proves not to be durable, the unemployed may return to the insurance period that has been awarded. If the recipient does not have a job there should be an offer to take part in a labour market program (activity guarantee). In some cases the period of unemployment benefit is prolonged with additional 300 days.

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**2.5      *Treatment of particular groups***

**2.5.1      *Young persons***

None

**2.5.2      *Older workers***

None

**2.5.3      *Others if applicable***

### **3. Unemployment assistance**

The basic unemployment insurance can be called assistance. It is aimed mainly at those not insured or insured not long enough, but meet the employment conditions or have just finished their full-time studies (student condition). It is available from the age of 20.

#### **3.1 Conditions for receipt**

The applicant must be fit for work and must be able to take a suitable job for at least 3 hours per day and an average of 17 hours per week.

##### **3.1.1 Employment conditions**

The same as the income related insurance. The same insurance from 1998.

##### **3.1.2 Contribution conditions**

None

#### **3.2 Calculation of benefit amount**

##### **3.2.1 Calculation of gross benefit**

It is a daily flat rate of SEK 320 (yearly equivalent of SEK 83 200) after full time work or studies. Proportionally lower after part time work.

In part-time work case, the reduction is a factor between 0 and 1. When you work 4 days in a week, the factor is 0.80.

##### **3.2.2 Income and earnings disregards**

The benefit is not paid for days worked. Benefit days must not be consecutive. Housing benefits can be paid in addition.

#### **3.3 Tax treatment of benefit and interaction with other benefits**

It is taxable.

#### **3.4 Benefit duration**

It is payable on a 5-day week basis, for a maximum of 300 days. There is a 5-day waiting period when based on employment condition, 90 days when based on student condition.

#### **3.5 Treatment of particular groups**

##### **3.5.1 Young persons**

Not available for persons aged 18-19.

##### **3.5.2 Older workers**

None

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3.5.3      *Others if applicable*

#### 4. Social assistance

The cash social assistance programme is the Social Welfare Allowance, which is municipally administered.

##### 4.1 Conditions for receipt

It is an income and assets-tested benefit, based on the obligation to exhaust all other means of support, and to be actively seeking employment. Social assistance is, according to the legislation, a right to a certain standard of living if no other means of income can be obtained; topping-up net incomes that fall below this standard is usually not possible.

##### 4.2 Calculation of benefit amount

###### 4.2.1 Calculation of gross benefit

The National Board of Health and Welfare (NBHW) is responsible for a national guideline norm for social assistance. The norm is calculated annually and has an individual part that depends on the age of the child and a household part that depends on the size of the household. For 2007 the norm is as shown in the table below

| Family type                  | Rates at NBHW norms (SEK per month) | Household rate based on number of family members |       |
|------------------------------|-------------------------------------|--------------------------------------------------|-------|
| Single                       | 2 640                               | 1 person                                         | 830   |
|                              |                                     | 2 people                                         | 930   |
| Married couple / Cohabitants | 4 770                               | 3 people                                         | 1 160 |
| Child <1 year                | 1 430                               | 4 people                                         | 1 340 |
| 1-2 years                    | 1 610                               | 5 people                                         | 1 530 |
| 3 years                      | 1 290                               | 6 people                                         | 1 740 |
| 4-6 years                    | 1 550                               | 7 people                                         | 1 910 |
| 7-10 years                   | 1 980                               |                                                  |       |
| 11-14 years                  | 2 270                               |                                                  |       |
| 15-18 years                  | 2 550                               |                                                  |       |

###### 4.2.2 Income and earnings disregards

Maximum assistance benefit is reduced with 100 per cent of net income. Net income is defined as earned and taxable social security income after income tax and social security contribution and including housing benefit, family allowance and maintenance advance that are not taxed.

##### 4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

##### 4.4 Benefit duration

Indefinite, as long as the conditions for receipt are met.

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**4.5      *Treatment of particular group***

**4.5.1      *Young persons***

No specific minimum age.

**4.5.2      *Older workers***

None.

**4.5.3      *Others if applicable***

## 5. Housing benefits

### 5.1 Conditions for receipt

Housing assistance exists in three main forms:

- The income-tested housing allowance, it varies according to age, the income, the housing cost, and the number of children.
- Rent is fully covered for social assistance claimants, as a supplement to the housing allowance.
- An income-tested housing supplement (BTP) exists for pensioners (outside the scope of this study).

### 5.2 Calculation of benefit amount

#### 5.2.1 Calculation of gross benefit

Total housing costs are divided in brackets; 50 to 75 per cent per bracket is added to a flat benefit. The size of each bracket and the flat benefit rate depend on age and family situation (see table). The benefit is calculated on a monthly basis according to the expected income during the calendar year but the benefit received during a year is provisional and will be checked against the final income assessment. Capital income is also considered. Housing benefit may not exceed housing costs. Monthly benefits of less than SEK 100 are not paid.

| Family composition         | Housing costs (HC)<br>(SEK per month) | Housing benefit (HB1)<br>(before income-test)      |
|----------------------------|---------------------------------------|----------------------------------------------------|
| Age < 29,<br>with no child | 0 – 1800                              | 0                                                  |
|                            | 1800 – 2600                           | 75% of (HC – 1800)                                 |
|                            | 2600 – 3600                           | 75% of (2600 – 1800) + 50% (HC – 2600)             |
|                            | 3600 +                                | 75% of (2600 – 1800) + 50% (3600 – 2600)           |
| Families:                  |                                       |                                                    |
| with 1 child               | 0 – 2000                              | 950                                                |
|                            | 2 000 – 3 000                         | 950 + 50% of (HC – 2000)                           |
|                            | 3 000 – 5300                          | 950 + 50% of (3000 – 2 000) + 50% of (HC – 3000)   |
|                            | 5300 +                                | 950 + 50% of (3000 – 2 000) + 50% of (5300 – 3000) |
| with 2<br>children         | 0 – 2 000                             | 1325                                               |
|                            | 2000 – 3300                           | 1325 + 50% of (HC – 2000)                          |
|                            | 3300 – 5900                           | 1325 + 50% of (3300 – 2000) + 50% (HC – 3300)      |
|                            | 5900 +                                | 1325 + 50% of (3300 – 2000) + 50% (5900 – 3300)    |
| with 3<br>children         | 0 – 2000                              | 1750                                               |
|                            | 2000 – 3600                           | 1750 + 50% of (HC – 2000)                          |
|                            | 3600 – 6600                           | 1750 + 50% of (3600 – 2000) + 50% of (HC – 3600)   |

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$$6600 + 1750 + 50\% \text{ of } (3600 - 2000) + 50\% \text{ of } (6600 - 3600)$$

### 5.2.2 *Income and earnings disregards*

The housing benefit is income-tested. Reduction rates and disregards depend on age and family situation:

| Family composition               | Gross income limit for the means-test (SEK per month) | Subsidy rate for the means-test (%) | Housing benefit, including the income-test (GI = gross income) |
|----------------------------------|-------------------------------------------------------|-------------------------------------|----------------------------------------------------------------|
| Single < 29, with no children    | 3417                                                  | 33                                  | HB1 – 33% (GI – 3417)                                          |
| Lone parents                     | 9750                                                  | 20                                  | HB1 – 20% (GI – 9750)                                          |
| Families <29 with no children    | 4833                                                  | 33                                  | HB1 – 33% (GI – 4833)                                          |
| Families with 1 or more children | 4875/partner*                                         | 20                                  | HB1 – 20% (GI – 4875)                                          |

\* The partner with no income is not entitled to any housing benefit since 1995.

### 5.3 *Tax treatment of benefit and interaction with other benefits*

It is not taxable.

### 5.4 *Treatment of particular groups*

None.

#### 5.4.1 *Young persons*

#### 5.4.2 *Older workers*

#### 5.4.3 *Others if applicable*

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**6. Family benefits**

**6.1 Conditions for receipt**

Each child aged 16 or under (or until 20 if still at school) qualifies the family for child benefit.

**6.2 Calculation of benefit amount**

**6.2.1 Calculation of gross benefit**

The annual amount is SEK 12 600 per child (SEK 1 050 per month), with a supplement of SEK 1200 for the second child, SEK 4 248 for the third child, SEK 10 320 for the fourth child, and SEK 12 600 for the fifth and each subsequent child.

**6.2.2 Income and earnings disregards**

Child benefit is not subject to any means test.

**6.3 Tax treatment of benefit and interaction with other benefits**

It is not taxable.

**6.4 Treatment of particular groups**

**6.4.1 Young persons**

**6.4.2 Older workers**

**6.4.3 Others if applicable**

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## **7. Childcare benefits**

### ***7.1 Childcare for pre-school children***

- Age 1-5 76 %
- Age 6-9 74 %

Compulsory schooling starts at age 7, but there is possible to start at age 6 and this age-group does often have special classes (Grade 0).

### ***7.2 Out-of-pocket childcare fees paid by parents***

Child-care is heavily subsidised by state and local governments. For the first pre-school child the fee is 3 per cent of the gross income (earned income plus unemployment benefits), for the second child the fee is 2 per cent and 1 per cent for the third child. There is a monthly cap of SEK 1 260, 840 and 420 for the 1<sup>st</sup>, 2<sup>nd</sup> and 3<sup>rd</sup> child respectively. With a yearly household income above SEK 504 000 there is no marginal effect and no extra fee. For school-children the percentages are 2, 1 and 1 respectively. The order of the child is according to the need of day-care – mostly the youngest are number one.

Childcare fees are not tax deductible.

Childcare fees are taken into account when determining entitlement to benefits such as social assistance.

### ***7.3 Child-care benefits***

#### ***7.3.1 Conditions for receipt***

#### ***7.3.2 Calculation of benefit amount***

##### ***7.3.2.1 Calculation of gross benefit***

##### ***7.3.2.2 Income and earnings disregards***

#### ***7.3.3 Tax treatment of benefit and interaction with other benefits***

#### ***7.3.4 Treatment of particular groups***

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**8. Employment-conditional benefits**

None.

**8.1 Conditions for receipt**

**8.2 Calculation of benefit amount**

**8.2.1 Calculation of gross benefit**

**8.3 Tax treatment of benefit and interaction with other benefits**

**8.4 Benefit duration**

**8.5 Treatment of particular group**

**8.5.1 Young persons**

**8.5.2 Older workers**

**8.5.3 Others if applicable**

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**9. Lone-parent benefits**

None

**9.1 Conditions for receipt**

Each child aged 16 or under (or until 20 if still at school) from a lone-parent family qualifies.

**9.2 Calculation of benefit amount**

**9.2.1 Calculation of gross benefit**

The monthly amount is SEK 1 273 per child, that is SEK 15 276 yearly.

This is a separate benefit the absent parent is supposed to pay. If the parent pays directly to the lone parent, then the state is not involved. If not, the state advances the money and then demand the absent parent to pay it in full or in part. This system of repayment has been enforced and more responsibility is put on absent parents to pay a larger share of the cost.

**9.2.2 Income and earnings disregards**

Not subject to any means test.

**9.3 Tax treatment of benefit and interaction with other benefits**

Not taxable.

**9.4 Benefit duration**

**9.5 Treatment of particular group**

**9.5.1 Young persons**

**9.5.2 Older workers**

**9.5.3 Others if applicable**

## 10. Tax system

There is a central government and a local government personal income tax, based on the same taxable income.

### 10.1 Income tax

#### 10.1.1 Tax allowances and credits

##### 10.1.1.1 Standard allowances

- *Basic reliefs:* A basic allowance is given for assessed earned income and varies between SEK 11 900 and SEK 31 100, depending on income. When individuals pay central government income tax, the basic allowance reaches its lowest level, which equals SEK 11 900. The basic allowance depends on the assessed earned income and the basic amount, which equals SEK 40 300.

| Assessed-Earned- Income<br>(SEK)<br>Relative to Basic Amount (BA) | Percentage of BA<br>at lower bracket | For exceeding<br>income, % of BA |
|-------------------------------------------------------------------|--------------------------------------|----------------------------------|
| 0 – 0,99                                                          | 0,423                                |                                  |
| 0,99 - 2,72                                                       | 0,423                                | +0,2                             |
| 2,72 - 3,11                                                       | 0,77                                 |                                  |
| 3,11–7,88                                                         | 0,77                                 | -0,1                             |
| 7,88–                                                             | 0,293                                |                                  |

- Standard marital status reliefs: None.
- Relief(s) for children: None.
- Work-related expenses: None.
- *Other:* None.

##### 10.1.1.2 Standard tax credits

A tax credit equal to 100 per cent of the compulsory social security contributions paid by the employee is granted.

For a person with an average municipal tax rate, a SEK 5 000 – 11 000 annual tax credit on labour income is granted. For those aged 65 or more, a higher credit worth up to SEK 19 000 is granted. This 'Earned Income Tax Credit' is calculated as follows: EITC = (Special Amount – Basic Allowance) \* local tax. The Basic Allowance (BA) is determined in Section 1.121; the local tax is discussed in Section 1.2. The Special Amount is based on the taxpayer's (gross) earned income.

For taxpayers younger than 65, the Special Amount is calculated as follows:

| Earned Income (EI) | Special Amount                 |
|--------------------|--------------------------------|
| – 0.79 BA          | EI                             |
| 0.79 BA – 2.72 BA  | 0.79 BA + 0.2 * (EI – 0.79 BA) |
| 2.72 BA –          | 1.176 BA                       |

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BA = SEK 40 300

For taxpayers older than 65, the Special Amount is calculated differently:

| Earned Income (EI) | Special Amount                 |
|--------------------|--------------------------------|
| – 1.59 BA          | EI                             |
| 1.59 BA – 2.72 BA  | 1.59 BA + 0.2 * (EI – 1.59 BA) |
| 2.72 BA –          | 1.816 BA                       |
| BA = SEK 40 300    |                                |

#### 10.1.2 *Income tax schedule*

It is the gross earnings minus the two above tax allowances, rounded down to the nearest multiple of 100.

The income tax schedule is as follows:

| Taxable Income (SEK) | Tax (SEK)<br>at lower bracket | For exceeding<br>income, % |
|----------------------|-------------------------------|----------------------------|
| 0 – 316 700          | 0                             |                            |
| 316 700 – 476 700    | 0                             | 20                         |
| over 476 700         | 32 000                        | 25                         |

#### 10.1.3 *State and local income taxes*

The local government personal income tax is proportional and differs between municipalities. The average rate amounted to 31.6 per cent in 2006, with the maximum and minimum rates being 34.24 per cent and 28.9 per cent, respectively. The average in 2007 is 31.55.

### 10.2 *Treatment of family income*

The tax unit is the individual. Spouses are taxed separately.

### 10.3 *Social security contribution schedule*

A general pension contribution of 7 per cent of personal income is paid by employees and self-employed where income is equal to or greater than 42.3% of the basic amount underlying the basic allowance (see Section 10.1.1.1). The contribution cannot exceed SEK 25 100 since the general pension contributions are not paid for income over 359 100 SEK. The employees' contribution is offset with a tax credit.

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**10.4      *Treatment of particular group***

10.4.1      *Young persons*

10.4.2      *Older workers*

10.4.3      *Others if applicable*

**11. Part-time work**

**11.1 *Benefit rules for part-time work***

**11.2 *Special tax and social security contribution rules for part-time work***

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## **12. Policy developments**

### **12.1 *Policy changes introduced during the previous year***

There is a new tax credit introduced in 2007.

### **12.2 *Policy changes announced***

From 2008 there will be a lot of policy changes in Unemployment Insurance.

There will also be policy changes in the tax system.